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27.02 World Bank

International Bank for Reconstruction and Development (IBRD)



International Bank for Reconstruction and Development is commonly known as World Bank. It was set up in 1944 in order to reconstruct and rehabilitate first world war affected countries of Europe and assist in the development of developing countries. It is located at Washington DC. It has its offices all over the world.

Objectives of IBRD

Objectives of IBRD are briefly mentioned here under.

1. Providing long term capital to member countries to reconstruct and develop their war-affected economy
2. Promoting capital investment in member countries
3. Providing guarantees for loans granted to small and large units and other projects of member countries
4. Ensuring implementation of development projects so as to transform the war-affected economy into peace economy
5. Providing long term capital for ensuring balance of payment equilibrium and balanced development of international trade

Functions Of IBRD

The main functions of the world bank are stated below

1. Assisting reconstruction of war-affected countries
2. Promoting economic growth and balanced growth of international business
3. Promoting infrastructural facilities like energy and transportation, road development, etc. in member countries.
4. Encouraging agricultural and industrial development in developing countries by providing adequate resources
5. Providing resources for promoting sanitation, education, health care and small scale enterprises in member countries
6. Improving standard of living of people of member countries by providing assistance by removing poverty, raising productivity, providing technical support and conducting research and development

27.03 International Monetary Fund (IMF)

